

Credit Proposal Memorandum: XYZ Corporation		
Date: August 1, 2025	Approval MRS: 11	Approval level: Credit Head
Request & Recommendation		
Credit Request and Transaction Background		
Seeking WRM approval for an interim review of our US 50MM participation in a US 2.2Bln Senior Unsecured RCF for A.Co. Corporation to refinance their existing RCF. The facility can be utilized as Revolving Credit (Funded)/ SBLC (Non-Funded). The original facility is clean with a tenor of 3 years; however, contains provisions that will require the borrower to provide collateral to secure the facility should they be downgraded to BB by S&P and Ba2 by Moody's, which is a one notch downgrade from both agencies' current ratings. Transaction is being led by GGG Bank (GGB) and NNN Bank (NNB) who are committing USD 225MM each to the facility, along with two other banks (K and Q) also committing USD 225M for a total of USD 900MM. Current outstanding as of July 31st, 2025: Funded: Nil Unfunded: USD10.4Mil Facility was proposed as per the below terms and conditions at the time of initial approval in January 2025:		
Facility	Term Loan	
Deal Size	AED 2,200,0000,0000	
Bank Hold	AED 50,000,000	
Facility	Revolving Credit Facility	
Purpose	To refinance A.Co.'s existing revolving loan and letter of credit facility	
Tenor	3 years	
Repayment	Bullet	
Pricing	Commitment Fee: 12.5 bps Revolving Loan / Financial LC: 112.5 bps Performance LC: 67.0 bps	
Upfront fee	0.15%	
Financial Covenants (Tested Annually)	1. Maximum debt to capitalization of 0.6x Defined as consolidated debt divided by the sum of consolidated debt and consolidated shareholders equity (excluding the effects of accumulated other comprehensive income/losses) 2. Limitation on aggregate amount of debt of the greater of USD 750MM or EUR 750MM for A.Co. subsidiaries (other than subsidiaries that constitute the Guarantors) 3. Minimum liquidity threshold of USD 1.2Bln. Defined as the sum of unrestricted and unencumbered cash and cash equivalents and marketable securities of the Borrower and its subsidiaries (other than any variable interest entity, and the amount available for Revolving Loans under the Revolving Facility Loan Sublimit	
Other Conditions	Within 45 days following a Collateral Springing Event, i.e. both ratings of S&P and Moody's drop to BB and Ba2 or lower respectively, the following shall apply until both ratings improve to BBB-/ Baa3 or higher: 1. Borrower's material direct and indirect wholly owned domestic subsidiaries subject to exceptions to be agreed, shall unconditionally guaranty all of the Borrower's obligations under and in connection with the RCF, and	

	Borrower and the Guarantors shall unconditionally guaranty interest rate swaps, currency or other hedging obligations, banking services obligations and bilateral LC obligations owing to any Lender or any affiliate thereof. The Guaranteed Obligations shall be secured by a. Priority perfected security interest in and lien on the existing and future property of the Borrower and each Guarantor b. Pledge of, and a first priority perfected security interest in 100% of the equity interests of each of the Borrower's existing and future direct and indirect domestic subsidiaries In the event of any drawing under any LC: 1. Borrower shall reimburse the applicable L Issuer (NNB/ GGB / Bank of Montreal) in an amount equal to such LC Disbursement within an agreed upon time. 2 To the extent that the Borrower does not so reimburse the applicable LC Issuer, the Borrower will be deemed to have requested a Revolving Loan from the Lenders in the amount of the unpaid drawing 3. If Revolving Loans are not then permitted to be made under the RCF, the Lenders shall be irrevocably and unconditionally obligated to reimburse the applicable LC Issuer pro rata based upon their respective commitments.
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seeking Credit approval to waive:

a. AECB Report as it is not available.

b. Undertaking from borrower and guarantor with regards to approaching their external auditors given the syndicate nature of the proposed transaction.

c. Original sighting of the financials. Financials are available on the public domain given this is a listed entity.

Recommendation

The facility is clean over a tenor of 3 years with bullet repayment, however, governed by provisions that will require the borrower to provide collateral and material subsidiaries to guarantee the facility should they be downgraded to BB by S&P and Ba2 by Moody's (one notch downgrade from current ratings).

A.Co. is compliant with all financial covenants under its revolving credit facility as of June 30, 2025.

A.Co. is a blue chip, diversified professional and technical solutions provider which has been operational since 1910s and publicly listed (market cap of USD7Bn as of Aug 11, 2025) since 1957. The company is well diversified geographically - generating 55% of revenue outside the country with a backlog of USD 31.3Bln including new awards of USD 2.7Bln.

This syndication was well received in the market with participation by major banks and 22 banks participating in total. The RCF serves as a foundation step for A.Co. to recognize XXXXNY as relationship bank, and a door opening for future key opportunities across GCC and globally.

Additionally, A.Co. maintains a strong liquidity buffer of approximately \$8billion, including \$2.17 billion of cash and undrawn revolver capacity, which provides immediate flexibility to absorb operating cash flow volatility. In addition, the company's backlog of \$28.2 billion, with \$14.8 billion scheduled for execution over the next twelve months, is expected to drive milestone collections and normalize cash flow in 2H 2025. Low funded debt (\$1.07 billion with no major maturities until 2028) further reduces refinancing risk and enhances the company's ability to bridge temporary cash flow shortfalls.

[CPM: Chapter 02 Section X] - Large bullet repayment structures are not encouraged

[CPM: Chapter 02 Appendix III] - Trade Loans and LC Refinancing are allowed up to 180 days if they are clearly linked to a specified underlying Trade transaction with sufficient details offered by the obligor bank. Tenors > 181 days would be policy breach and would require approval accordingly.

Justification:

This is a clean long-term facility RCF over a tenor of 3 years with a bullet repayment for refinancing existing RCF which shall mature in February 2026. With this refinancing, the company shall benefit from more competitive pricing from lenders with an extension in maturity until February 2028.

The facility is a medium term 3-year RF which can be availed as a revolving credit facility for liquidity and working capital requirements. Worth noting that for each LC drawdown under the RCF, A.Co. shall reimburse the LC Issuer (BP/ GGB/ BMO) in an amount equal to the drawdown. In case amount was not reimbursed, A.Co. will be deemed to have requested a funded revolving loan under the RF from lenders. If Revolving Loans are not then permitted at that time, Lenders shall be irrevocably and unconditionally obligated to reimburse the applicable LC Issuer pro rata based upon their respective commitments. Historically, majority of limits outstanding under the RF were LCs i.e. short term in nature. Outstanding under the current RCF as of June 25 is USD 463MM LCs only.

We remain comfortable with structure on the back of the company's financial performance including 1H2025 revenues of USD 2.1Bn with bottom line profit of USD 0.2Bn, sufficient cash balances of USD 2.1Bn, and equity cushion of 6Bn against a Debt of USD 1Bn. Additional comfort is driven from the proposed financial covenants monitoring overall financial performance and borrowings in addition to provisions included in the facility structure in terms of providing additional collateral and upstream corporate guarantees in the company's credit rating drops to BB by S&P and Ba2 by Moody's (one notch below current rating).

Policy Exceptions

- Large bullet repayment structures not encouraged
- Trade loans & LC refinancing are allowed up to 180 days

Relationship History / Relationship Strategy

XXXXNY has been in regular discussion with the Company over the past year. A.Co. has expressed a strong interest in establishing and expanding its relationship with us. The RCF serves as a foundation step for A.Co. to recognize XXXXNY as relationship bank.

Some of the key opportunities we are aiming to capture in the next 12-18 months are as follows:

1. UAE CASA: A.Co. ME is opening a new entity in Dubai, and they have expressed interest in opening their operating account to XXXXbank. We have shared the account opening documentation with A.Co..

Global SBLC/LC Facility: We are in discussion with the treasury in XX and have already negotiated the legal documentation for SBLC/Guarantee Facility

MMDA in UK - XXXXNY and XXXXUK are in discussion with the treasury in YY for MMDA, documents have been provided to A.Co. and they are currently under review.

A.Co. presence in the Middle East: A.Co. has a strong regional presence positions us to further strengthen our global relationship and explore new opportunities for collaboration:

A.Co. operates in:

UAE: Headquartered in Dubai, providing front-end engineering and design (FEED) and EPC services for offshore facilities including projects such as Refinery Expansion, B power plant project amongst others.

- Saudi Arabia: Through A.Co. Arabia Limited in Al Khobar, offering project management, including EPC services. Notable projects include the H S C Manufacturing Plant and collaboration with Maladen on future ventures. Kuwait: A.Co. Kuwait, in partnership with F A and Sons, specializes in oil and gas projects, including a \$410 million consulting services contract with Kuwait Oil Company (a subsidiary of Kuwait Petroleum Corporation).
- Qatar: Focused on petrochemical and infrastructure projects, with active EPC and FEED contracts including the North Field Expansion project for Qatar Energy and Barzan Gas Project for Qatar Gas amongst others.

Key Risks and Mitigation

Project Execution & Fixed-Price Contract Exposure Risk

Mitigation:

- A.Co. has significantly shifted away from LSFP models toward reimbursable and target-cost contracts, which now represent 79% of its backlog as of year-end 2024. This pivot is enforced through the Business Risk Management Framework (BRMFS), a multi-stage gatekeeping system that screens commercial and technical risk at proposal, award, and execution phases. The result is tighter bid discipline and enhanced margin visibility.
- The company became more selective in bidding for projects, focusing on those with clear risk profiles and manageable scopes. This helped to ensure that A.Co. could better deliver on its commitments within budget and schedule.

FX Risk

Mitigation:

A.Co. Corporation operates globally and is therefore exposed to foreign exchange (FX) risk arising from revenues, costs, assets, and liabilities denominated in currencies other than the U.S. dollar. The company mitigates this risk primarily through natural hedging, where project revenues and costs are matched in the same local currency to limit net exposure.

A.Co. actively uses forward exchange contracts and other derivatives to hedge material currency exposures on large international projects, locking in exchange rates and reducing volatility in earnings and cash flows.

Backlog & Awards Volatility Risk

Mitigation:

A.Co. maintains a highly diversified backlog, with strong representation in energy transition, infrastructure, federal mission support, and mining.

- In Q1 2025 alone, the company booked \$5.3 billion in new awards, including a life sciences megaproject and a highway project in Texas.
- Management also emphasized a "qualification-first" approach to awards, favoring backlog quality over volume.

Labor Market Tightness and Inflation Pressures Risk

Mitigation:

- The company's increased reliance on cost-plus contracts allows partial pass-through of cost escalation.
- Additionally, A.Co. leverages a global engineering and procurement footprint, reducing reliance on local high-cost markets.
- Strategic sourcing and prequalification of subcontractors have been embedded into project pre-award phases, minimizing downstream disruption.

Legal, Regulatory, and Accounting Risk Mitigation:

A.Co. Corporation is subject to legal and regulatory proceedings in the normal course of its global operations. As of the second quarter of 2025, the company disclosed three citations pending before the Federal Mine Safety and Health Review Commission related to its role as an "operator" at the KS Mine. While A.Co. does not own the mine, is considered an operator under federal safety regulations. These proceedings, along with other routine disputes, represent a risk of potential fines, penalties, or reputational impact. Although management has not identified any litigation that is expected to be material to its financial condition, continued exposure to regulatory and contractual disputes remains a structural risk given the complexity of A.Co.'s large-scale projects.

To mitigate these risks, A.Co. maintains a comprehensive compliance and risk management framework. The company enforces strict health, safety, and environmental standards, conducts regular internal audits, and actively engages with regulators to resolve disputes efficiently. In addition, A.Co. reviews its legal contingencies each reporting period, records provisions when losses are probable and estimable, and relies on insurance coverage to limit financial exposure where applicable.

Importantly, management has stated that current legal proceedings are not expected to have a material adverse effect on liquidity or overall financial performance.

Financial and Liquidity Risk

Mitigation:

- As of 2024, A.Co. held \$2.4 billion in liquidity (cash and revolver availability), and operating cash flow improved to \$828 million.
- Net debt remains modest, and the company has guided for \$575-675 million in adjusted EBITDA in 2025. Capital discipline includes selective share repurchases and no dividend, preserving flexibility.
- Current S&P rating stands at BB+ with a stable outlook. Moody's remains more conservative (Ba1/Ba2 equivalent),
- though no downgrade trigger is imminent based on current trends.
- A.Co. has implemented cost-cutting measures, enhanced project risk reduction strategies, and bolstered its liquidity position to stabilize operations and address credit concerns.

ESG Risk

Mitigation:

A.Co. mitigates ESG risks through a comprehensive strategy that integrates environmental, social, and governance considerations. The company has achieved Net Zero for Scope 1 and Scope 2 emissions by 2023 through energy efficiency improvements, renewable energy use, and carbon offset programs, while incorporating sustainable design principles into its projects to reduce environmental impact. On the social front, A.Co. prioritizes employee health and safety through rigorous training and monitoring, invests in local communities via education and economic development initiatives, and fosters diversity and inclusion within its workforce. Governance risks are addressed through a robust compliance and ethics program to ensure integrity, transparency in ESG reporting aligned with global frameworks like GRI and SASB, and strong board-level oversight to embed ESG considerations into its corporate strategy. This integrated approach enables A.Co. to mitigate ESG risks effectively while driving sustainability and long-term value creation.

Reputational risks, which can result from project failures or ethical breaches

Mitigation:

- The company took steps to strengthen its financial reporting processes, ensuring compliance with regulations to restore investor confidence. Company invested in robust internal audits and introduced more transparent accounting practices to prevent future inaccuracies.
- A.Co. reinforced its corporate governance structure by appointing independent board members and creating a stronger oversight framework. A.Co. refocused its business strategy on its core strengths in engineering, procurement, and construction (EPC) services, and delivered successful projects.

Tariff exposure

Mitigation:

A.Co. maintains a predominantly reimbursable contract structure, allowing cost escalations on materials, equipment, and imports to be passed through to clients where contractually permitted. The company actively engages in early procurement strategies, locking in pricing with suppliers before potential tariff implementations, and leverages its global sourcing network to identify alternative suppliers or regions with favorable trade terms. Furthermore, A.Co. incorporates flexible contract clauses and hedging arrangements to reduce exposure to volatile input costs, while working closely with clients to adjust project schedules or designs in response to evolving trade policies. These measures collectively aim to preserve margins, protect backlog stability, and sustain client confidence despite tariff-driven market uncertainties.

Risk: The company reported negative operating cash flow of \$307 million in 1H 2025, reflecting working capital build and milestone timing.

Mitigation:

A.Co. maintains a strong liquidity buffer of approximately \$3billion, including \$2.17 billion of cash and undrawn revolver capacity, which provides immediate flexibility to absorb operating cash flow volatility. In addition, the company's backlog of \$28.2 billion, with \$14.8 billion scheduled for execution over the next twelve months, is expected to drive milestone collections and normalize cash flow in 2H2025. Low funded debt (\$1.07 billion with no major maturities until 2028) further reduces refinancing risk and enhances the company's ability to bridge temporary cash flow shortfalls.

Risk: The sharp increase in reported net income to \$2.2billion in 1H 2025 was primarily driven by equity method earnings related to A.Co.'s investment in NS. These results are non-cash, non-core, and inherently tied to market valuation changes in the associate, which can fluctuate materially. Should the value of this investment decline, A.Co.'s reported net income could contract significantly, creating volatility in bottom-line results and limiting the reliability of these earnings as a sustainable contributor to credit strength.

Mitigation:

- From a credit perspective, assessment is anchored on underlying core earnings, backlog conversion, and cash flow generation, rather than equity method gains. Excluding these items, A.Co.'s EBITDA of \$144 million in 1H 2025 remains the key indicator of operational capacity. Importantly, the company has deconsolidated NS, reducing direct exposure, while maintaining strong liquidity (\$3.0 billion) and a diversified \$28.2 billion backlog across government, energy, and urban projects. These fundamentals mitigate reliance on equity-accounted income, ensuring that valuation swings in non-core investments do not impair the company's ability to meet obligations

Ways Out Analysis

1st Way Out:

While the company reported negative operating cash flow of \$307 million for the first half of 2025, this was largely attributable to project execution timing and working capital build, rather than a deterioration in underlying earnings power. Importantly, A.Co. maintains robust liquidity of approximately \$3 billion, which serves as the primary buffer to absorb near-term cash flow volatility. The company's sizeable backlog of \$28.2 billion, of which \$14.8 billion is scheduled for execution over the next twelve months, provides visibility to future milestone collections and supports the expectation of improved operating cash flow in the second half of 2025. From a credit perspective, while cash generation was temporarily negative, the combination of strong liquidity, modest funded debt, and backlog-driven revenue conversion offers multiple layers of protection and underpins the company's capacity to meet financial obligations.

2nd Way Out:

- In an event where collateral springing has occurred, second way out is a call on the upstream corporate guarantees in addition to the lien provided on the assets in the country.

Other Ways Out:

- There is also a likelihood that this facility is re-financed upon maturity. The refinancing risk is relatively low given A.Co. overall financial performance and the fact that there hasn't been a concern with ability to raise additional debt in the past as seen historically with the refinance of current RCF

In addition, company has notes outstanding of USD 1.15 Bn maturing in 2028 and 2029 depicting the company's ability to tap the capital markets to raise financing.

The Company has a strong bank group that has supported them over the years and can provide and raise additional capital as needed.

Also, the enterprise value of A.Co. as a business was approximately USD 6.8Bn as of December 31, 2024, with a total outstanding debt of USD 1.1Bn which provides a coverage of 6.2x.

Industry Analysis

A.Co. Corporation and U.S. EPC Industry Overview

Company Profile: A.Co. Corporation is one of the largest global engineering, procurement, and construction (EPC) firms, providing project management and EPC services across diverse sectors. Through over 110 years of operations (via predecessor companies), A.Co. has built a worldwide footprint serving industries including energy (oil & gas, LNG, petrochemicals), infrastructure, mining & metals, life sciences, advanced manufacturing, and government services. A.Co. operates via three main segments - Energy Solutions, Urban Solutions, and Mission Solutions - plus an "Other" segment for its smaller businesses. This broad portfolio helps A.Co. mitigate cyclicalities by balancing traditional oil/gas projects with growing markets like renewable fuels, high-demand minerals, and infrastructure. The company prides itself on a global execution platform and alliances that allow quick mobilization to project sites worldwide. Notably, about 55% of A.Co.'s project backlog is outside the country as of year-end 2024, reflecting its international reach.

Industry Market Size and Growth Trends

The EPC industry is large and growing, supported by robust infrastructure and energy investment trends. In 2025, the engineering, procurement, and construction market is estimated at \$322 billion in revenues, and it is projected to double to ~\$646 billion by 2030, a CAR of about 15%. This rapid growth outlook is fueled by a wave of public and private spending on infrastructure upgrades, clean energy projects, and industrial capacity expansions. Government initiatives are channeling unprecedented funding into construction programs, while private-sector capital is flowing into energy transition and manufacturing facilities. Analysts note that the EPC sector's growth trajectory is strong due to these drivers, but not without challenges. Industry reports highlight that while multi-billion dollar opportunities are emerging in transportation, utilities, clean energy, and high-tech manufacturing, EPC contractors face headwinds from regulatory complexities, skilled labor shortages, and inflationary costs that could temper growth. Nonetheless, the overall outlook is positive: public construction spending in the country hit record levels in 2024 and continues rising, and sectors like renewable energy, LNG export facilities, and semiconductor plants are contributing to a high backlog of major projects nationally. A.Co., as a top-tier EPC player, stands to benefit from this macro environment via increased bidding opportunities and a generally expanding market for its services. A healthy growth environment is supportive of A.Co.'s credit profile, as it provides revenue visibility - but it also heightens the need for execution discipline amid busy construction.

Labor Shortages and Inflationary Cost Pressures

The construction labor market and materials inflation are external factors that directly impact EPC project costs and schedules.

In the post-pandemic economy, builders have grappled with persistent skilled labor shortages. The construction unemployment rate remains low and job openings are elevated. In early 2025, the industry needed an estimated 439,000 additional workers to meet demand, reflecting the gap between project volume and workforce supply. Despite efforts to recruit and train more talent, many contractors report difficulties filling craft and engineering roles. This labor scarcity has led to significant wage inflation: Construction wages rose about 21% between 2021 and 2024, far outpacing the ~8% average wage growth across all U.S. occupations. For EPC firms, rising labor costs can squeeze project margins - especially on fixed-price contracts where the contractor bears the risk of cost escalations. A.Co. and peers must account for higher pay rates and potential overtime in their bids, and even then, labor shortfalls can cause delays (e.g. if key subcontractors can't staff up). Labor shortages are particularly acute for certain trades and in hot regions (Gulf Coast petrochemical hubs, areas with multiple mega-projects like chip fabs). A.Co. has noted that large manufacturing projects (some spawned by government incentives) are "absorbing a significant share of the labor force" in certain regions, putting pressure on other projects' staffing. This challenge will require A.Co. to carefully plan resource allocation, possibly pay premium rates, and invest in training to ensure it can execute its backlog without disruption - a critical factor for meeting its financial targets.

Inflationary pressure on materials and equipment is another concern. Over 2021-2022, prices for steel, concrete, copper, lumber, and other construction inputs surged to multi-year highs, driven by supply chain disruptions and high demand. While some input costs have stabilized or retreated from their peaks, construction costs remain well above pre-2020 levels. Any renewed inflation or supply bottlenecks (for

example, specialty engineered equipment with long lead times) could impact project budgets. A.Co. typically includes escalation clauses or allowances in reimbursable contracts to protect against this, but in lump-sum work the company bears the risk if its cost estimates prove too low. As of 2024, general contractors' cost indices were still elevated, and procurement of critical items (like electrical equipment, specialty steel, etc.) often involves longer timelines. A.Co.'s global procurement capabilities are a competitive strength it leverages to mitigate this - the company's ability to bulk-buy and source from multiple regions can help control costs. Furthermore, inflation and labor costs can sometimes be passed through to clients on cost-plus projects (with negotiated rate adjustments), which is one reason A.Co.'s pivot to reimbursable work helps buffer its margins. From a credit standpoint, prolonged high inflation could erode A.Co.'s profitability and increase working capital needs (higher cost to carry inventory). The company's 79% reimbursable backlog provides some cushion, but investors will watch how A.Co. manages any remaining fixed-price exposure under inflation. Encouragingly, A.Co.'s 2024 results showed improved profits partially due to completion of older loss-making projects and better project execution, even as inflation persisted. Maintaining that trend will depend on proactive supply chain management and realistic project costing.

Outlook and Credit Considerations

Bringing these factors together, the outlook for A.Co. and the EPC industry is cautiously optimistic. The company is benefiting from favorable macro drivers- record infrastructure funding, an energy transition investment boom, and recovering private capital spending - which support revenue growth and backlog opportunities. In 2024-2025, A.Co.'s backlog has begun to reflect this momentum, with major new awards in highways, life sciences, and mining. Market forecasts project sustained growth in EPC services demand through the end of the decade, suggesting a healthy environment for top contractors. For A.Co.'s creditworthiness, this growth backdrop provides a tailwind: higher volumes and a richer project mix should improve earnings.

Critically, A.Co. appears to be learning from past mistakes and repositioning itself as a more financially conservative and disciplined operator. The shift to ~80% reimbursable contracts, reduction of legacy loss projects and focus on core competencies all point to lower risk in project execution. The company's balance sheet, which was stretched by prior losses, has stabilized - A.Co. ended 2024 with significantly improved equity from its one-time gain and has been generating positive operating cash flow (excluding working capital swings associated with project timing). If A.Co. continues to generate predictable cash flows and avoid large write-downs, its leverage and liquidity should remain manageable, making it a more attractive credit.

Nonetheless, the risks detailed above will require ongoing attention. In particular, the execution risk on new complex projects (whether an LNG megaproject or a first-of-kind hydrogen facility) could test A.Co.'s project management rigor. The company's ability to hire and retain qualified talent amid a labor shortage will be pivotal - failure to staff projects adequately could lead to schedule slips or quality issues. Similarly, inflation or supply chain hiccups must be proactively managed via procurement strategy and client negotiations. Another area to watch is legal risk - while much of the legacy litigation is settled, any new large dispute or cost overrun could quickly dent profits. The competitive environment means A.Co. cannot be complacent; it must continue to win profitable work and innovate to stay ahead.

In conclusion, A.Co. Corporation stands at an improved position relative to a few years ago, with industry conditions in its favor and internal reforms in place. The EPC industry's growth (fueled by federal infrastructure and clean energy policies) provides a strong demand foundation, which is credit-supportive for firms like A.Co. that have the capacity to take on big projects. A.Co.'s diversification beyond oil & gas and its emphasis on more equitable contracts have begun to stabilize its performance, as seen in 2024's results. For a bank credit committee, A.Co. presents a case of a leading contractor with significant opportunities ahead, tempered by the execution and external risks inherent in large-scale engineering projects. The key will be consistent project delivery and risk management - if A.Co. can execute its \$28+ billion backlog efficiently and convert policy-driven opportunities into profitable new awards (while avoiding the pitfalls of the past), it should strengthen its financial profile over the coming years. The firm's current trajectory, underpinned by favorable industry trends, suggests a cautiously positive credit outlook, with careful monitoring warranted on project outcomes and cost trends as the EPC cycle ramps up.

Financials

Below financial analysis is based on A.Co. Corporation's 2024 and 6M 2025 financial performance and published on the public domain. Worth noting that 6M financials are unaudited. Latest audited financials dated FY24 were audited by EY, approved auditors by XXXX.

Amounts in MM	FY 2022	FY 2023	FY 2024	Jun 2024	Jun 2025
Period	12 Months	12 Months	12 Months	6 Months	6 Months
Income Statement					
Revenues	13,744	15,474	16,315	7,961	7,959
Growth (%)	-2.9%	12.6%	5.43%	-	(0.02%)
EBITDA	376	449	444	202	144
Net Income	145	139	2,084	194	2,206

Amounts in MM	FY 2022	FY 2023	FY 2024	Jun 2024	Jun 2025
Period	12 Months	12 Months	12 Months	6 Months	6 Months
Balance Sheet					
Cash	2,439	2,519	2,829	2,629	2,172
Marketable Securities	185	69	130	79	99
Current assets	5,044	5,063	5,175	5,017	5,027
Total assets	6,827	6,973	9,143	6,811	11,788
Current liabilities	3,216	3,163	3,071	2,837	3,102
Total debt (Including Lease)	1,301	1,299	1,104	1,136	1,070
Net Debt (Including Lease)	677	(1,289)	(1,725)	(1,493)	(1,102)
Total Bank Debt	1,130	1,158	1,104	1,136	1,070
Net Bank Debt	506	(1,430)	(1,725)	(1,493)	(1,102)
Total liabilities	4,831	4,921	5,151	4,568	5,810
Equity	1,996	2,052	3,992	2,243	5,978
Tangible Net Worth	1,790	1,846	3,793	2,037	5,978
Key Financial Ratios					
EBITDA margin (%)	2.7%	2.9%	2.7%	2.5%	1.8%
Net margin (%)	1.1%	0.9%	12.8%	2.4%	27.7%
Current ratio (x)	1.57	1.60	1.69	1.77	1.62
Debt-to-EBITDA (Leverage) (x)	3.46	2.89	0.39	2.81	3.71
Debt-to-Equity (x)	0.65	0.63	0.28	0.51	0.18
Debt to TNW (x)	0.73	0.70	0.29	0.56	0.18
TL to TNW (x)	2.70	2.67	1.36	2.24	0.97
Interest Coverage (x)	6.37	7.48	9.65	NM	NM

NM-Not Material

Income Statement

Revenues and Growth Trends:

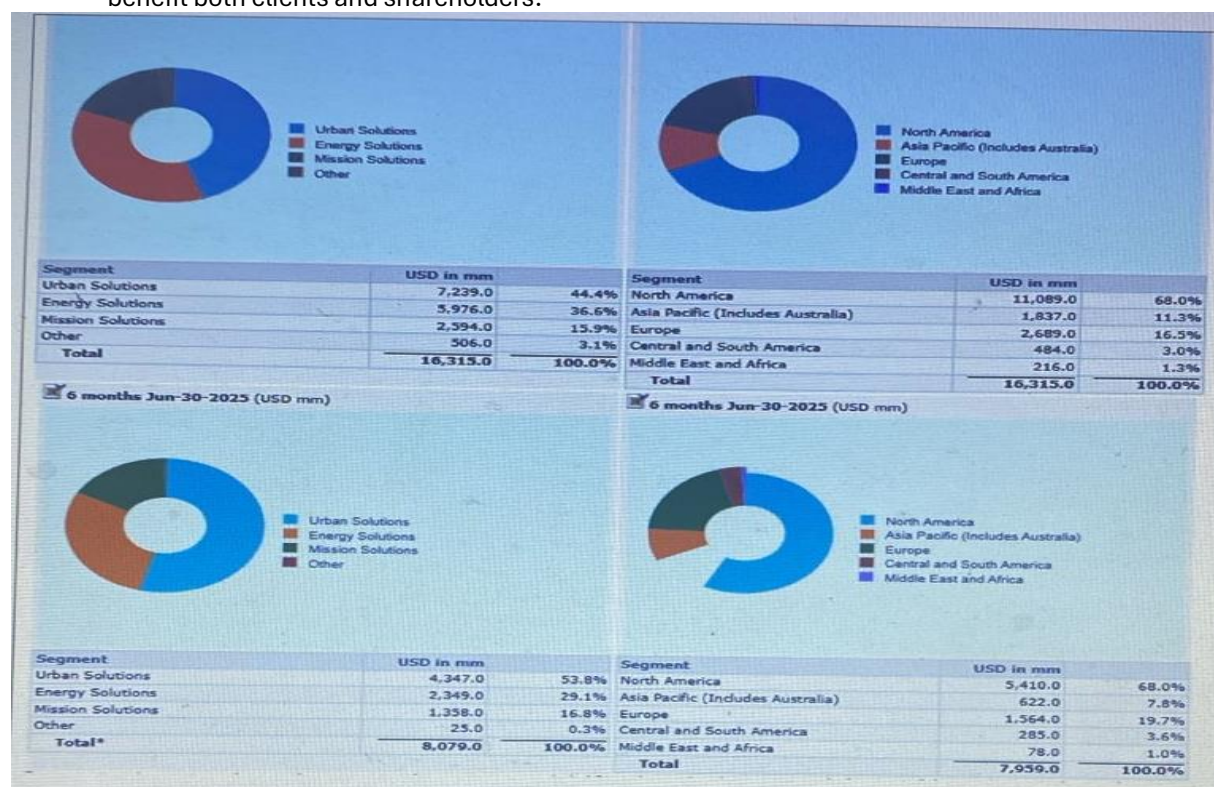
A.Co. reported revenues of US 16.3 billion in FY 2024, a 5.4% year-over-year increase from FY 2023. In the first half of FY 2025, however, topline performance showed mixed momentum. While Q1 revenues of nearly USD 4.0 billion suggested a steady annualized run rate, Q2 results came in weaker, pulling down the overall first half trajectory.

Combined, H1 2025 revenues totaled approximately USD 8 billion, implying a potential full-year run rate closer to USD 16 billion, which would be on similar lines to the previous year. This moderation reflects delayed project mobilizations, slower execution on certain Energy Solutions projects, and the normalization of post-COVID tailwinds. Importantly, the sequential slowdown in Q2 indicates near-term headwinds rather than a structural decline in demand, as the backlog remains intact.

Urban and Energy Solutions still account for 83% of total revenue, making them critical to the company's performance. While profitability was pressured in 1H 2025 by discrete project issues and arbitration charges, the backlog of \$28.2 billion (with \$14.8 billion scheduled within 12 months) provides strong revenue visibility for the second half. Management expects margin recovery in Urban Solutions, new

project ramp-ups in Energy Solutions, and stable government funding in Mission Solutions to support improved operational performance and cash generation going forward.

- 2025 Guidance Revision:
- Adjusted EPS: Cut to USD 1.95-2.15 from a previous forecast of USD 2.25-2.75.
- Adjusted EBITDA: Revised downward to USD 475-525 million from an earlier range of USD 575-675 million.
- CEO's Commentary: Breuer acknowledged the Q2 setback, pointing to challenges from infrastructure project issues and client spending shifts. However, he emphasized their temporary nature, stating the company's long-term strategy centered on disciplined delivery in growth markets remains intact. He specifically noted that the strategic direction should continue to benefit both clients and shareholders.



Urban Solutions:

Urban Solutions recorded USD 7.2 billion in revenue in FY 2024, up from USD 5.3 billion in FY 2023, representing a 37% year-over-year increase. This strong growth was primarily driven by the continued expansion of the life sciences, advanced manufacturing, and metals & mining sub-sectors. A.Co.'s strategic focus on Urban Solutions aligns closely with broader industry tailwinds, including demand for industrial decarbonization, energy transition, and domestic production of critical materials. Macro economically, the segment benefitted from U.S. federal stimulus programs such as the Infrastructure Investment and Jobs Act, the Inflation Reduction Act, and incentives under the CHIPS Act, which spurred significant capital expenditure in both public and private sectors.

- Revenue increased to \$4.23 billion in 1H 2025 from \$3.31 billion in 1H 2024, reflecting strong execution in life sciences and metals & mining projects. Segment profit declined to \$99 million (vs. \$155 million), with margins compressing to 2.3% from 4.7%, largely due to ~\$54 million in cost growth on three infrastructure projects related to subcontracted design errors and price escalations. Despite the short-term margin pressure, Urban Solutions remains strategically important as it accounts for more than half of company revenue. Looking ahead, management expects margin improvement in 2H 2025 as life sciences projects mature and claim recoveries on subcontractor disputes are realized Urban Solutions provides visibility into

high-growth end markets such as pharmaceutical facilities, advanced manufacturing, and critical infrastructure, which underpin long-term earnings potential.

Text Predictions: On

Energy Solutions:

Energy Solutions reported USD 6 billion in FY 2024 revenue, down slightly from USD 6.3 billion in FY 2023, reflecting a 4.7% year-over-year decline. This contraction was primarily due to the completion of several large legacy projects, as well as a more selective approach to new work - particularly in the LNG and oil & gas sectors - where A.Co. has chosen to limit exposure to lump-sum, fixed-price EPC contracts. From a company perspective, this decline is consistent with the shift toward margin stability over volume, as Energy Solutions transitions to fewer but higher-quality, reimbursable engagements. Industry-wide, the segment continues to face cost inflation and project risk challenges, although long-term fundamentals remain favorable due to strong global demand for energy transition infrastructure, including LNG terminals and hydrogen facilities.

- Revenue contracted to \$2.35 billion from \$3.03 billion in the prior year, with segment profit declining to \$63 million (vs. \$143 million). Margins fell to 2.7% from 4.7%, impacted by a \$31 million arbitration ruling on a Mexico JV fabrication project and adverse FX derivative movements. Despite the decline, this segment remains a cornerstone of A.Co.'s portfolio, benefitting from global energy transition trends. Management highlighted that new chemical and energy transition awards are expected to ramp in the second half, while project completions will free up capacity for higher-margin opportunities. The Energy Solutions backlog continues to position A.Co. to capitalize on renewable fuels, LNG, and downstream chemicals demand.

Mission Solution (Government/Defense & Infrastructure):

Mission Solutions delivered USD 2.7 billion in FY 2024 revenue, down from USD 3.2 billion in FY 2023, which represents a 16% year-over-year decline.

From a company lens, A.Co. continues to view this segment as a stable source of long-term cash flow, especially given its cost-plus contract structure and minimal performance risk. However, industry-wide competition for federal infrastructure and environmental remediation work has intensified, especially as agencies reevaluate scope and procurement timelines.

Revenue rose modestly to \$1.36 billion from \$1.31 billion, while segment profit fell to \$40 million (vs. \$63 million), with margins contracting to 2.9% from 4.8%. The decline was primarily due to a \$28 million reserve related to a legacy DOE/DOD project completed in 2019. Mission Solutions remains an important stabilizer in A.Co.'s portfolio. This segment provides low counterparty risk, recurring government demand, and cash flow stability, which offset volatility in commercial EPC markets.

Other:

Revenue fell sharply to \$25 million from \$319 million in 1H2024.

Segment profit improved to \$8 million from a \$49 million loss, underscoring management's successful portfolio streamlining.

Going forward, this segment will be immaterial but highlights A.Co.'s focus on concentrating resources in its core EPC and government solutions businesses. The monetization of NS shares (with the first conversion tranche planned for August 2025) could provide incremental liquidity in the second half, even though equity method earnings from NS will remain volatile.

Profitability Ratios:

EBITDA Margin

- For the first half of 2025, A.Co. generated revenue of \$7.96 billion, broadly in line with the prior year (1H 2024: \$7.96 billion). EBITDA (operating profit plus depreciation and amortization) was approximately \$144 million, compared with \$202 million in the prior year, resulting in an EBITDA margin of 1.8% versus 2.5% in 1H 2024. The lower margin primarily reflects project-specific items:

Urban Solutions absorbed \$54 million of cost adjustments on three infrastructure projects.

Energy Solutions was impacted by a \$31 million arbitration ruling in Mexico and lower derivative gains compared

with the prior year.

Mission Solutions recorded a \$28 million reserve related to a legacy.

Excluding these discrete items, underlying performance remained stable, with backlog execution continuing to support revenue levels.

Net Margin

Reported net income for 1H 2025 was \$2.2 billion, equating to a net margin of 27.7% (vs. 2.4% in 1H 2024). The increase is largely attributable to \$2.82 billion of equity-method earnings from NS, reflecting the uplift in NSs market valuation. On a pre-equity basis, results would have shown a net loss of \$613 million, or a negative net margin of 7.7%, indicating that EPC profitability was modest while reported results benefitted from non-cash investment gains.

Key Consideration

- The contrast between EBITDA margin (1.8%) and headline net margin (27.7%) highlights that reported profitability is being influenced by market-driven equity gains, while the core EPC business is experiencing margin pressure from select projects. Importantly, A.Co. continues to carry a \$28.2 billion backlog, of which \$14.8 billion is scheduled for execution within the next 12 months, providing a solid base for improved margin recovery and cash flow generation in the second half of 2025.

Outlook for 2H 2025

The company expects backlog to remain broadly stable in the second half, with execution converting \$14.8 billion of

RUPO into revenue. Award activity is anticipated to improve relative to the first half, particularly in Energy Solutions, where large-scale opportunities in LNG, renewable fuels, and downstream chemicals are in advanced bidding stages. In Urban Solutions, life sciences and advanced manufacturing projects are expected to drive incremental awards, while Mission Solutions should benefit from continued government contract renewals and funding appropriations.

Balance Sheet and Liquidity

- As of June 30, 2025, A.Co. maintained a solid liquidity position supported by cash and available credit facilities. The company reported cash and equivalents of \$2.17 billion, although approximately \$401 million of this balance is held within variable interest entities and therefore not fully accessible for general corporate purposes. In addition, A.Co. held \$99 million of marketable securities. The company's revolving credit facility of \$2.2 billion, which matures in February 2028, had no outstanding borrowings as of quarter-end, with \$463 million in letters of credit issued, leaving \$852 million of undrawn capacity. On top of this, \$941 million of letters of credit were issued under uncommitted lines. Taken together, A.Co.'s total available liquidity amounted to approximately \$3 billion, providing a comfortable cushion to manage working capital swings and project commitments.
- A.Co.'s long-term debt remains modest at \$1.07 billion, consisting primarily of its 2028 Senior Notes and 2029 Convertible Notes. Importantly, there are no significant maturities until 2028, reducing near-term refinancing risk. The company's covenant structure requires a minimum liquidity of \$1.1 billion and a debt-to-capitalization cap of 0.60x, both of which A.Co. comfortably complies with as of June 2025. This conservative capital structure, with no revolver drawings and limited funded debt, underpins the company's credit strength despite the challenges seen in first-half operating earnings.
- From a liquidity coverage standpoint, A.Co. reported current assets of \$5.03 billion against current liabilities of \$3.10 billion, resulting in a current ratio of 1.62x. This provides a healthy short-term liquidity buffer, comfortably above 1.0x, with cash holdings forming a meaningful portion of current assets alongside contract-related balances. Going forward, collections on project milestones in the second half of 2025 are expected to further reinforce this ratio and support near-term obligations.
- On leverage, the company's debt-to-EBITDA ratio appears sustainable when measured against first-half results. With debt of \$1.07 billion and annualized EBITDA of roughly \$288 million, debt-to-EBITDA is approximately 3.7x. The ratio is distorted by the impact of discrete project charges in Urban and Energy Solutions during the first half. Management has guided that margin recovery in

the second half, combined with the execution of \$14.8 billion of backlog scheduled within the next 12 months, should improve EBITDA and bring leverage ratios down closer to historical levels.

- Debt service metrics are similarly affected by first-half results. Operating cash flow was negative \$307 million, resulting in a weak debt service coverage ratio. This reflects working capital build and project-related adjustments, rather than a structural deterioration in the company's cash generation. Historically, A.Co. has maintained positive operating cash flow, and backlog conversion in the second half is expected to restore DSCR coverage to more normalized levels. Interest coverage remained adequate despite these challenges. With EBIT of \$65 million and interest expense of \$21 million, EBIT-to-interest stood at 3.1x. This reflects the fact that A.Co.'s interest expense is relatively low compared to its revenue scale and overall capital structure.
- Finally, A.Co.'s tangible net worth stood at \$5.9 billion, representing a strong equity cushion that supports credit quality. This capital base has been further bolstered by equity-method earnings from NS, which added significant uplift in reported net income. Even excluding the volatility of investment-related gains, A.Co.'s balance sheet remains conservatively positioned relative to funded debt levels, ensuring covenant compliance and providing resilience against potential project-related earnings variability.
- Overall, A.Co. enters the second half of 2025 with a solid liquidity base, low absolute debt levels, and a robust equity position. While leverage and debt service metrics are temporarily pressured by weak EPC profitability in the first half, the company's sizeable backlog and expected margin recovery should support improvement in operating cash flow and coverage metrics going forward. From a credit perspective, the combination of ample liquidity, limited debt maturities, and a strong capital base provides meaningful comfort despite the near-term earnings challenges.

Cash Flows

Cash flows from operating activities result primarily from A.Co.'s core activities and are affected by their earnings level and changes in working capital associated with such activities. Working capital levels vary from period to period and are primarily affected by their volume of work and billing schedules on their projects. The company maintains cash reserves and borrowing facilities to provide additional working capital in the event that a project's net operating cash outflows exceed its available cash balances. A.Co. Corporation's cash flow from operating activities showed notable strength in 2024, reaching approximately USD 828 million, a significant improvement from USD 202 million in FY 2023. This increase was primarily driven by stronger operating performance, lower working capital outflows, and reduced capital expenditures.

Nonetheless, 2025 opened on a softer note, reflecting challenges across the three operating segments. As of June 30, 2025, cash and marketable securities stood at USD 2.3 billion, providing ample liquidity to support ongoing projects. Operating cash flow for the second quarter was negative USD 21 million, primarily due to increased working capital requirements on large infrastructure projects, funding of cost growth, and timing of receivable collections in Mission Solutions and Mexican joint ventures. A.Co. also reported USD44 million in legacy project funding during 022025, with USD 200 million in funding remaining unchanged and additional outflows anticipated in 2026.

Capital expenditures

For the first half of 2025, A.Co. reported negative operating cash flow of \$307 million, compared with positive inflows in the same period of the prior year. The shortfall was driven primarily by working capital dynamics, including increases in contract assets and adjustments related to project execution timing. Certain projects in the Urban Solutions and Energy Solutions segments required upfront expenditure and milestone-related advances that have not yet been offset by corresponding cash inflows, leading to a temporary drain on liquidity. Importantly, this cash flow performance does not reflect a structural deterioration in A.Co.'s ability to generate operating cash but rather the timing of cash collections and costs associated with backlog execution. Management has indicated that the backlog scheduled for delivery within the next twelve months, totalling approximately \$ 14.8 billion, should support a rebound in operating cash flows in the second half of the year, as project milestones are reached and collections accelerated.

On the investing side, capital expenditures remained relatively modest at \$47 million in the first half of 2025, underscoring A.Co.'s asset-light operating model. The company's capital spending is typically concentrated on sustaining investments in technology platforms, project management systems, and selective expansion of its Energy and Urban Solutions businesses. Given the low level of recurring capex requirements, A.Co.'s cash deployment flexibility remains intact, and capex is expected to remain contained for the remainder of 2025.

Looking ahead, management expects a reversal of the negative operating cash trends experienced in the first half. With a strong backlog pipeline and significant revenues scheduled for recognition in the second half, A.Co. should benefit from milestone-related collections, improved segment profitability, and normalization of working capital balances. Combined with relatively modest capex commitments and a low funded debt burden, the company's free cash flow profile is positioned to strengthen meaningfully in the latter part of 2025. From a credit perspective, the anticipated rebound in operating cash flows, combined with A.Co.'s ample liquidity and limited near-term maturities, suggests that cash generation capacity should remain sufficient to cover both operating needs and financial obligations, while supporting a gradual deleveraging trend.

Projections

A snapshot of the company's forecasted performance was provided when company renewed RCF in Jan 2025, which included only income statement figures rather than a full-fledged working model. Accordingly, we have sensitized these numbers under two conservative scenarios to assess the company's debt repayment capacity.

We have calculated interest coverage, Debt/EBITDA, and Debt/ TNW based on the below assumptions given no projections for these figures were provided by the customer.

1. Interest coverage calculations:

- Include non-funded LC utilization commission charges as well as interest on utilization under the RCF facility.

This excludes financing cost on notes given they were historically deferred.

Interest expense was calculated assuming SOR of 3.5%, margin of 0.95% (proposed LC rate) and 50.0% utilization for FY25 under both committed and uncommitted, and 55% utilization for F26 and 65% for FY27. Noting that historically in FY24 utilization remained at 47.7% and slightly higher levels were considered in with the increase in revenues assumed

FY24 interest was kept at annualized level.

Debt/ EBITDA and Debt/ TNW calculations

Historically, debt outstanding on the balance sheet included notes outstanding. Given utilization under the committed and uncommitted lines were non-funded, the same was not reflected on the balance sheet.

For FY25, FY26 and FY27, we have assumed debt outstanding at a historical 4-year average of USD 1.15Bln.

- Similarly, given no equity calculation was provided, we have reverse calculated the net profit (EBITDA - Interest
- Depreciation) and retained earnings to arrive at a total equity figure based on the revenues and EBITDA assumptions under each scenario.

Company Case

Revenues from the energy segment are forecasted to decline during FY25 in line with their performance in FY24 given the challenges faced in the energy segment. In FY26, revenues are forecasted to pick up and improve slightly. Lower revenues from the Energy segment are offset by the continued forecasted improvement from their urban segment in line with the historical performance. Mission revenues are forecasted to remain relatively stable over the next 3 years.

Unlike revenues assumptions, the company forecasts higher backlog on the back of contract awarded over the next 3 years under their Energy and Mission segment which shall materialize over the coming years.

USD MM	2024 (A)	2025 (P)	2026 (P)	2027 (P)
Energy Solutions	5,976	5,601	5,737	7,442
Urban Solutions	7,239	12,909	14,601	14,768
Mission Solutions	2,594	2,717	2,411	2,971
Others	506	-	-	-
Total Revenues	16,315	21,227	22,749	25,181
Total Revenue Growth	5.43%	25.7%	7.2%	10.7%
Energy Solutions	256	299	287	375
Urban Solutions	304	346	448	457
Mission Solutions	153	170	180	189
Others	(78)	-	-	-
Segment Profit	635	815	915	1,021
G&A	(203)	(134)	(135)	(141)
FX	92	-	-	-
Depreciation	73	70	70	70
EBITDA	444	651	750	850
Interest Expense	46	66.53	73.18	86.49
Interest Coverage (x)	13.8	9.8	10.2	9.8
Debt Outstanding	1,104	1,150	1,150	1,150
Equity	3,992	2,755	3,349	4,028
Debt/ EBITDA (x)	1.74	1.77	1.53	1.35
Debt/ Equity (x)	0.28	0.42	0.34	0.29

Bank Case

Under the bank case, we have assumed half of the company case growth in 2025 along with 5% growth in FY26 and FY27. The breakup of revenue was assumed in line with company assumptions. EBITDA and Costs were assumed as margins of the revenues.

Based on the above, the company's interest coverage is expected to remain strong at 8.1x by FY27. We have also assessed the company's Debt/ EBITDA and Debt/Equity at lower growth levels while keep debt constant as assumed under the company case.

Based on the above assumptions, Debt/EBITDA and Debt/ Equity are expected to remain acceptable over the next 3 years with ratios reaching 1.63x and 0.31x respectively by FY27.

USD MM	2024 (A)	2025 (P)	2026 (P)	2027 (P)
Energy Solutions	5,976	5,029	5,047	6,210
Urban Solutions	7,239	11,591	12,845	12,324
Mission Solutions	2,594	2,440	2,121	2,479
Others	506	-	-	-
Total Revenues	16,315	19,060	20,013	21,014
Total Revenue Growth	5.43%	12.9%	5.0%	5.0%
Energy Solutions	256	268	252	313
Urban Solutions	304	311	394	381
Mission Solutions	153	153	158	158
Others	(78)	-	-	-
Segment Profit	635	732	805	852
G&A	(203)	(120)	(119)	(118)
FX	92	-	-	-
Depreciation	73	70	70	70
EBITDA	444	651	750	850
Interest Expense	46	66.53	73.18	86.49
Interest Coverage (x)	13.8	8.7	9.0	8.1
Debt Outstanding	1,104	1,150.0	1,150	1,150
Equity	3,992	2,692	3,199	3,742
Debt/ EBITDA (x)	1.74	1.98	1.75	1.63
Debt/ Equity (x)	0.28	0.43	0.36	0.31

Stress Case

Bank case has been further stressed under the stress scenario whereby we have assumed declining revenues of 10% every year over the next 3 years. The breakup of revenue was assumed in line with company assumptions. EBITA and Costs were assumed as margins of the revenues.

Based on the above, the company's interest coverage is expected to remain acceptable reaching 4.6x by FY27. Similarly, we have also tested Debt/ EBITDA and Debt/ Equity where we note that increase reaching 2.87x and 0.37x by FY27, respectively. While we note that Debt/ EBITDA is high, the company's equity remains acceptable reflecting ample cushion.

USD MM	2024 (A)	2025 (P)	2026 (P)	2027 (P)
Energy Solutions	5,976	4,011	3,450	3,639
Urban Solutions	7,239	9,244	8,781	7,221
Mission Solutions	2,594	1,946	1,450	1,453
Others	506	-	-	-
Total Revenues	16,315	15,201	13,681	12,313
Total Revenue Growth	5.43%	-10.0%	-10.0%	-10.0%
Energy Solutions	256	214	173	183
Urban Solutions	304	248	269	223
Mission Solutions	153	122	108	92
Others	(78)	-	-	-
Total EBITDA from Ops	635	584	550	499
G&A	(203)	(96)	(81)	(69)
FX	92	-	-	-
Depreciation	73	70	70	70
EBITDA	444	458	439	400
Interest Expense	46	66.53	73.18	86.49
Interest Coverage (x)	13.8	6.9	6.0	4.6
Debt Outstanding	1,104	1,150	1,150	1,150
Equity	3,992	2,579	2,885	3,144
Debt/ EBITDA (x)	1.74	2.51	2.62	2.87
Debt/ Equity (x)	0.28	0.45	0.40	0.37

MRS

MRS 12 was approved for A.Co. Corporation based on the latest audited financials for FY2024.

Assessment of Management

Please refer to BIR.

Customer Visit / Credit Due Diligence

Date: June 24, 2025

Meeting: Virtual

Attendees: M (A.Co.) & DS

Discussion: Discussed ancillary business opportunities that will be important for the bank following our participation in the RCF earlier this year. These included the establishment of the new entity in Dubai, the MDA opportunity in XXXX UK and the SBLC facility as the related documentation was under discussion between DS and the team. Overall, the meeting was constructive, and the outlook remains positive.

Date: August 21, 2025

Meeting: Virtual

Attendees: DK (A.Co.), DQ & MZ

Discussion: Discussed the SBLC opportunities in the Middle East focusing on business terms, particularly for the ongoing projects in Kuwait, Qatar and Saudi Arabia. A.Co. also mentioned that they would introduce

and recommend XXXX Bank to their Korean project counterparts in the GCC region for future financing requirements. Overall, the meeting was constructive with a positive outcome.

Prepared By:

MZ. Credit Analyst

Reviewed by:

DQ-SRM, XXXX